

Growth chill: On the economy

The economy's **sputtering** engines **necessitate** urgent **fiscal** actions

The National Statistics Office (NSO) has confirmed emerging fears about the economy's **evidently sluggish trajectory** through this year in its first Gross Domestic Product (GDP) estimates for 2024-25. While the election-focused first quarter hit public capital spending, the second quarter (Q2) was **marred** by weak demand and still **underwhelming** public **capex**, **dragging** GDP growth to a seven-quarter low of 5.4%. **The Centre and the Reserve Bank of India** (RBI), which were **projecting** that India would **log** a fourth year of 7%-plus growth, **had pared** their hopes to 'about 6.5%' and 6.6%, respectively. This was **predicated on** a **bump-up** of about 7% in the second half of the year to **offset** the first half's 6% rise. **The NSO**, slightly less **sanguine**, **expects** GDP to grow at a four-year low **pace** of 6.4%, from 8.2% in 2023-24, with just agriculture seen rising significantly faster than last year. Manufacturing and mining growth may **virtually halve**, and though services sectors seem relatively **better off**, there is some concern of **momentum** loss. Purchasing Managers' **Indices** averaged lower than Q2 through Q3, for both manufacturing and services. The NSO expects private consumption to **rebound** 7.3% this year from just 4% last year. But Q3 trends do not indicate a significant **lift-off** in urban demand. So, this could be a **tad** optimistic despite **inflation easing** slightly since October.

The Finance Ministry has **sought** to link the demand **slowdown** to a "combination of monetary policy **stance** and **macroprudential** measures by the central bank". Slow wage growth has also been blamed for **cramped** household demand. The NSO's **projection** of **gross fixed capital formation** growth slipping to 6.4% this year from 9% in 2023-24 **indicates** that **private capex** — that is **contingent on** domestic and global demand — **remains** weak while public capex goals are unlikely to be met. Of course, these early NSO projections are largely **conjured up** for informing the Union Budget formulation, and some upgrades may happen later, but most economists see significant **downside risks** for now. **Nomura economists**, for instance, who have been arguing that India is in the grip of a cyclical slowdown **for a while**, **reckon** growth will **end up** around 6%, implying a **flat-lined** second half. With the global outlook also **shrouded** in uncertainty, winter seems to be here for India's economy. How far behind spring **lags** will depend on policymakers' actions, and inactions. The Union Budget 2025-26 needs to move from **incremental tinkering** to **tailoring** reforms and fiscal actions that can bring India's growth back to the 7% **mark**, if not 8%, **at the earliest**. If that **entails** some hard calls such as **slashing** income, fuel and consumption taxes, along with import tariffs, so be it. Just **pinning** for interest rate cuts will not **suffice** anymore.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Mar** (verb) – Spoil, damage, ruin, impair, tarnish बिगाड़ना

Vocabulary

1. **Chill** (noun) – Slowdown, slowdown in activity, coolness, dampening effect
आर्थिक मंदी का संकेत
2. **Sputtering** (adjective) – Faltering, stalling, sputtering along, inconsistent लड़खड़ाता हुआ
3. **Necessitate** (verb) – Require, demand, call for, make necessary अनिवार्य करना
4. **Fiscal** (adjective) – Relating to government finances, monetary and budgetary राजकोषीय
5. **Evidently** (adverb) – Clearly, obviously, apparently, manifestly स्पष्ट रूप से
6. **Sluggish** (adjective) – Slow, lethargic, stagnant, lacking energy धीमा
7. **Trajectory** (noun) – Path, direction, course, route प्रक्षेप पथ
8. **Underwhelming** (adjective) – Disappointing, unimpressive, not meeting expectations प्रभावित न करने वाला
9. **Capex** (noun) – Capital expenditure, spending on infrastructure or assets पूंजीगत व्यय
10. **Drag** (verb) – Pull down, hamper, slow, impede खींचना/धीमा करना
11. **Project** (verb) – Forecast, predict, estimate, foresee अनुमान लगाना
12. **Log** (verb) – Record, register, achieve, note दर्ज करना
13. **Pare** (verb) – Reduce, cut back, trim, scale down कम करना
14. **Predicated** (on) (adjective) – Based on, founded on, dependent on, built upon पर आधारित
15. **Bump-up** (noun) – Increase, rise, uplift, boost उछाल
16. **Offset** (verb) – Counterbalance, compensate, make up for, neutralize संतुलित करना
17. **Sanguine** (adjective) – Optimistic, hopeful, positive, upbeat आशावादी
18. **Pace** (noun) – Speed, rate, momentum, tempo गति
19. **Virtually** (adverb) – Almost, nearly, practically, essentially लगभग
20. **Halve** (verb) – Reduce by half, bisect, cut down, decrease by 50% आधा करना
21. **Better off** (phrasal verb) – In a more favorable situation, improved condition, well placed अधिक बेहतर होना
22. **Momentum** (noun) – Impetus, drive, thrust, force गति

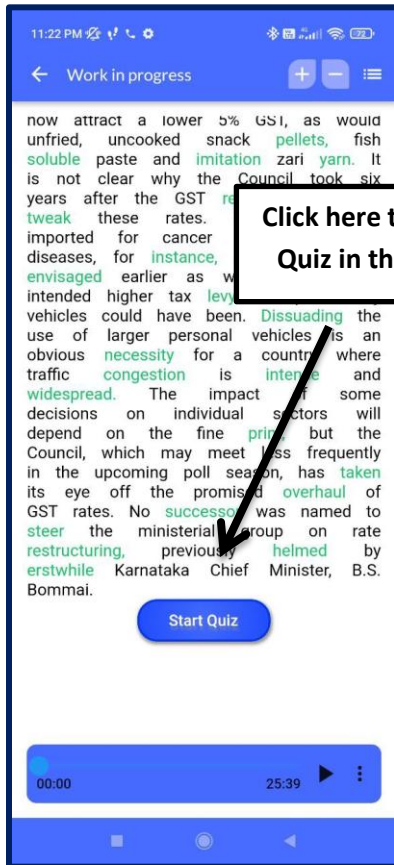
23. **Indices** (noun) – Indicators, measures, benchmarks, indexes संकेतक
24. **Rebound** (noun) – Recovery, bounce back, resurgence, upturn सुधार
25. **Lift-off** (noun) – Launch, take-off, sudden increase, start कूद या तेज़ उछाल
26. **Tad** (noun) – A little, slightly, small amount थोड़ा
27. **Inflation** (noun) – Rise in general price levels, economic condition of price increases मुद्रास्फीति
28. **Ease** (verb) – Lessen, reduce, diminish, relax कम करना
29. **Seek** (verb) – Attempt, try, aim, endeavor मांग करना/प्रयास करना
30. **Slowdown** (noun) – Deceleration, decline in growth rate, slump, downturn मंदी
31. **Stance** (noun) – Position, viewpoint, perspective, attitude रुख
32. **Macroprudential** (adjective) – Relating to policies that address overall financial system stability समष्टि-एहतियाती
33. **Cramped** (adjective) – Restricted, limited, constricted, narrow सीमित
34. **Projection** (noun) – Estimate, forecast, expectation, prediction अनुमान
35. **Gross fixed capital formation** (noun) – Measurement of investment in physical assets for production, e.g. infrastructure or machinery स्थायी पूंजी निर्माण
36. **Contingent** (on) (adjective) – Dependent on, conditional, reliant on, subject to निर्भर
37. **Conjure up** (phrasal verb) – Create, produce, bring forth, imagine उत्पन्न करना
38. **Downside risk** (noun) – Potential for loss or failure, negative possibility, disadvantageous outcome नकारात्मक जोखिम
39. **For instance** (phrase) – For example, to illustrate, such as, like उदाहरण के लिए
40. **For a while** (phrase) – For some time, temporarily, for a period कुछ समय के लिए
41. **Reckon** (verb) – Think, believe, estimate, suppose मानना/अनुमान लगाना
42. **End up** (phrasal verb) – Finally arrive at, eventually become, conclude in अंत में होना
43. **Flat-lined** (adjective) – Stagnant, showing no change, plateaued, unchanged रुका हुआ
44. **Shroud** (verb) – Cover, hide, obscure, envelop ढकना/छिपाना
45. **Lag** (noun) – Delay, time gap, interval, lapse विलंब

46. **Incremental** (adjective) – Gradual, step by step, progressive, marginal धीरे-धीरे
47. **Tinkering** (noun) – Small adjustments, fine-tuning, experimentation with minor fixes छोटे-मोटे बदलाव
48. **Tailor** (verb) – Customize, adapt, modify, shape according to need अनुकूलित करना
49. **Mark** (noun) – Level, standard, target, point स्तर/लक्ष्य
50. **At the earliest** (phrase) – As soon as possible, without delay, right away यथाशीघ्र
51. **Entail** (verb) – Involve, require, necessitate, call for ज़रूरत होना
52. **Slashing** (adjective) – Drastically reducing, cutting heavily, significantly decreasing भारी कटौती करने वाला
53. **Pining** (noun) – a strong wish for something
54. **Suffice** (verb) – Be enough, be adequate, be sufficient, fulfill requirements पर्याप्त होना

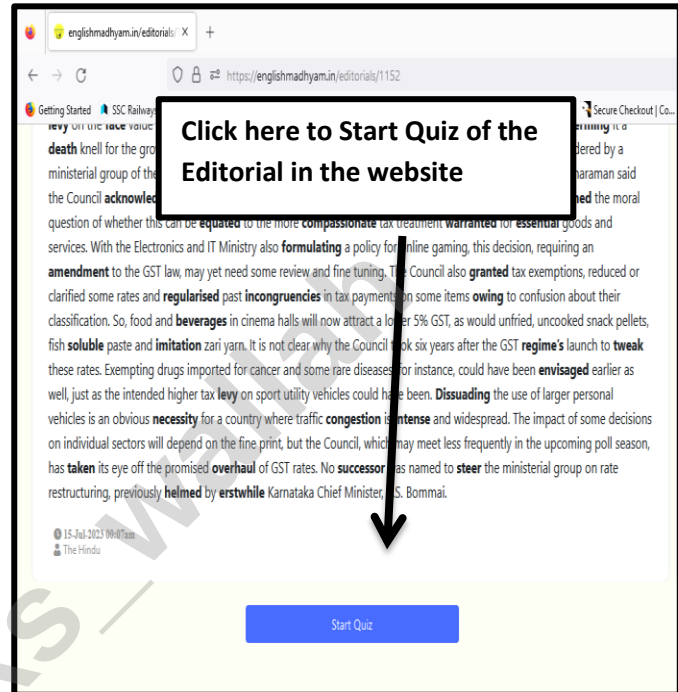
Summary of the Editorial

1. **Sluggish Economic Growth:** The National Statistics Office (NSO) confirms concerns about India's slowing economy with a seven-quarter low GDP growth of 5.4% in Q2 2024-25.
2. **Revised Projections:** Initial expectations of 7%-plus growth were scaled down by the Centre and RBI to 6.5%-6.6%, with the NSO projecting a four-year low of 6.4%.
3. **Weak Manufacturing and Mining:** Growth in these sectors is expected to halve compared to the previous year, reflecting a decline in industrial momentum.
4. **Agriculture Outperforms:** Agriculture is the only sector projected to grow significantly faster than the previous year.
5. **Services Sector Concerns:** While relatively better off, the services sector shows signs of losing momentum.
6. **Demand Trends:** Purchasing Managers' Indices for manufacturing and services indicate weaker performance in Q3 compared to Q2.
7. **Optimistic Consumption Projections:** NSO anticipates private consumption to grow by 7.3%, but urban demand trends do not indicate significant recovery.
8. **Inflation Moderation:** Inflation has eased since October, but its impact on lifting demand remains limited.
9. **Slow Wage Growth:** Stagnant wage growth is contributing to weak household demand.
10. **Capex Decline:** Gross fixed capital formation is expected to grow at 6.4%, down from 9% in 2023-24, signaling weak private investment.
11. **Public Capex Shortfall:** Public capital expenditure targets are unlikely to be met, compounding the slowdown.
12. **Cyclical Slowdown:** Economists, including Nomura, believe India is in a cyclical slowdown, predicting GDP growth at around 6% with a flat second half.
13. **Global Uncertainty:** External economic conditions add to domestic challenges, further dampening growth prospects.
14. **Policy Imperatives:** The 2025-26 Union Budget must adopt bold fiscal reforms, shifting from incremental changes to impactful measures.
15. **Proposed Fiscal Actions:** Suggested actions include reducing income, fuel, consumption taxes, and import tariffs, along with deeper structural reforms to restore 7%-8% growth levels.

Practice Exercise: Banking Pattern Based



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